

School of Computing and Information Technology**Student to complete:**

Family name

Other names

Student number

ECON251
Industry and Trade in Asia
Singapore Institute of Management**Supplementary Examination Paper**
Session 3 2022

Exam duration : 3 hours

Weighting : 50 % of the subject assessment

Marks available : 100 marks

Items permitted by examiner : Non-programmable scientific calculator

Directions to students

All questions to be answered.

Answers to Section A- Multiple Choice Questions are to be shaded on the Optical Mark Reader (OMR) Sheet

Answers to Section B Short Questions are to be written in the Answer Booklet provided

This exam paper must not be removed from the exam venue

Part A: Multiple Choice Questions

40 questions worth 1 mark each

(Total 40 Marks)

1. Which of the following is a tactic suggested by **the structuralist** school to promote economic growth and development?
 - a. Levy high tariffs on imported industrial goods to help domestic production
 - b. Promote the state-owned enterprise
 - c. Adopt import substitution industrialisation
 - d. All of the above

2. The Dependency Theory explains
 - a. Why primary products prices are lower than the manufactured goods
 - b. the importance of capital accumulation to promote economic growth
 - c. why the GDP per capita of the rich and the poor economies may widen as they trade with each other
 - d. None of the above

3. Which of the following is not considered to be an advantage of export-oriented industrialization?
 - a. It overcomes the smallness of the domestic market and allows developing nations to take advantage of economies of scale.
 - b. The domestic industries grow accustomed to protection and have an incentive to become more efficient.
 - c. Production of manufactured goods for export requires and stimulates efficiency throughout the economy.
 - d. The expansion of manufactured exports is not limited by the size of the domestic market.

4. Suppose that the tariff on shirts is 20% while the tariff on the cloth used to make the shirts is also 20% and there is no tariff on any of the inputs needed to produce cloth.

The tariff on cloth is now reduced to 10%. Which of the following is **TRUE** ?
 - a. The nominal rate of protection on cloth is reduced.
 - b. The nominal rate of protection on shirts is unchanged.
 - c. The effective rate of protection on shirts increased.
 - d. All of the above

5. The Ethiopia national statistics department released news about the surge of US\$5billion of funds in its property market and a \$15 billion new plant built in its latest industrial park by an MNC. At the same time, she is receiving foreign aids of \$10billion by the World bank to develop the education sector. This suggest
 - a. the recorded level of FDI inflow is \$40b.
 - b. the recorded level of FDI inflow is \$45b.
 - c. the recorded level of FDI inflow is \$15b.
 - d. the recorded level of net capital flow is \$25b .

6. Which of the following are valid argument *against* FDI inflows?
- the distortion of resources where funds, labour are steered towards the MNCS and away from the local firms.
 - the MNCs truncate the production process, minimising the level of technology and knowledge transfer in the host country .
 - the MNC sought the host country only as a tax haven and not generating enough income and employment to the host country
 - All of the above
7. A shift in international trade caused by one nation giving trade preferences to another is considered as
- trade creation
 - trade diversion
 - trade deflection
 - a net trade effect
8. A Thailand auto manufacturer locates an assembly plant in Brazil to gain Mercosur trade preferences on sales of the completed product in Argentina, even though the Brazilian plant operates at higher cost than the Thailand assembly plant. This is an example of
- trade creation
 - trade diversion
 - trade deflection
 - rules of origin
9. Which of the following will occur when a country engage in a regional trade cooperation ?
- Strong contagion effect as experienced in the Asian financial crisis
 - Higher intensity of cross border migration
 - collaborative efforts to manage common resources, and maintain regional security
 - All of the above
10. Which of the following best explains the noodle bowl effect?
- It occurs when countries can pool their funds to pursue regional security
 - A phenomenon where a country might engage in too many multilateral trade agreements that some of them are overlapping
 - It occurs when countries in the region compete to attract Foreign Direct Investment
 - None of the above
11. The 1993 World Bank study entitled The East Asian Miracle (1993) identifies eight high performing Asian economies. Which of the following is not one of them?
- Japan
 - Taiwan
 - Vietnam
 - Thailand

12. The Flying Geese Theory
- emphasizes on the interactive growth via emulative learning among the economies operating at different stages of growth along the ladder of economic development.
 - suggests all members in the fleet will eventually share the same level of economic growth rate.
 - concludes that all participating economies will experience absolute convergence to the growth of the leading geese.
 - is a theory to explain the need both state enterprise and private firms' need to collaborate to achieve economic success.
13. The Leading goose and the tier two geese experienced a shift in the comparative advantage as
- The government incur high debts
 - labour productivity rises together with wages
 - they joined ASEAN
 - there is a surge in savings and thus lower spendings by the workers
14. During the first twenty-five years after World War II, successful industrialization occurred in Korea and Taiwan where both shared similar development paths where both economies
- has a sizable domestic market thus production concentrates on meeting domestic needs.
 - initially developed the labour-intensive industries in the primary sector then switched to the more capital-intensive industries.
 - adopt high protectionism on both its exporting and importing sectors.
 - receive large foreign aid from Japan.
15. Which of the following best describe the similarities of the industrialisation paths of the Asia twin cities – Singapore and Hong Kong
- A full imitation of the industrial policy carried out by the lead goose - Japan
 - A rapid sectoral transformation to manufacturing sector and develop its export sector
 - Small domestic market with abundant cheap labour
 - Well educated workforce
16. The key difference between the post war industrialisation policies that Singapore and Hong Kong adopts is
- Singapore retains its share of the primary sector while Hong Kong switch completely to the manufacturing sector
 - They focus on meeting the demand of different export markets
 - Singapore adopts some degree of import substitution in the early stage and high level of government intervention, whilst Hong Kong adopts free trade policy and free market mechanism
 - They both depend on the British government for funding the infrastructure projects
17. Japan experienced the miracle growth after World War II as
- she undergoes economic transformation due to America's democratization
 - she sets up a central economic planning committee
 - she has larger pool of skilled worker who was more ready to move into manufacturing production
 - All of the above

18. Vertical keiretsu differs from horizontal keiretsu where
- Vertical Keiretsu are linked to government who would fund their operations
 - Horizontal Keiretsu involves joint ventures with foreign firms
 - Vertical Keiretsu consists of many firms centred around a major manufacturer to provide subcontracting services
 - Horizontal Keiretsu operates in an export processing zone
19. The Just In Time system adopted by Toyota refers to
- the firm is prompt in delivering orders to its consumers.
 - the firm will keep a close tab on its operation cost to ensure it does not make losses.
 - the firm will readily response to changes in taste and preference of consumers.
 - the firm minimise wastage adopting the demand as a signal flow for the supply of its goods and parts.
20. The key factors affecting FDI **outflow** of Japan includes
- the diminishing level of export competitiveness in Japan
 - the strength of the Japanese Yen
 - the stability and growth of consumer base in host country
 - All of the above
21. The key challenges Japan face resulting her to face long decades of stagnation includes
- Government low spending resulting in a low debt but slow output growth
 - A strong pool of well-educated woman to join the workforce
 - Aging population affecting labour productivity, and also a diversion economic resources from more productive use
 - All of the above
22. India is not able to conduct reforms on its agriculture sector to pursue an outward oriented growth approach. Which of the following **does not** explain the limitations' India face?
- Government placed more emphasis to develop the agriculture for food security rather than for export sector
 - India's abundant cheap labour and more than 50% of the workforce is employed in the agriculture sector
 - India's poor infrastructure setup affecting timely supply of inputs and timely transfer of outputs from Indian farms to support the export market
 - Existing heavy subsidy problem on agriculture sector resulting to overdependency and low labour productivity in this sector
23. Unlike many other Asian economies, FDI inflow in India was not as prominent as
- Investors are unsure of the political situation with a differing objective between the state and the central government.
 - The high poverty level.
 - The high rural urban migration.
 - The presence of too many microenterprises that is a threat to the MNCs.

24. India's economy depends on the service sector as a key sector for economic growth where this sector
- Can generate enough employment to her large population base.
 - Can provide complementary service to the technology driven manufacturing industry and growing demand of the interconnected world.
 - Is less regulated by the government.
 - Is not affected by the level of FDI in her country.
25. Which of the following is not part of China's export promotion strategies?
- Participation in multilateral as well as regional trade agreements.
 - State banks offer cheap loans to exporting firms in the special economic zones.
 - An undervalued currency.
 - A better educated workforce receiving technical training
26. Which of the following does not describe the Stated Owned Enterprise (SOE) in China?
- They have greater access to cheaper loans and run at excess capacity
 - They are the main contributors to China's GDP before the reforms
 - They comprise of joint ventures between the government and the MNES
 - They were considered inefficient as they incur high debt, low profitability, and lack of transparency
27. China's devaluation of the Chinese Yuan can help to
- Discourage FDI inflow and outflow.
 - Artificially boost export competitiveness even as wages and input prices soar
 - To boost its foreign reserves.
 - To help the State-owned enterprise to acquire foreign capital and technology
28. The gradual economic reforms in China from its early stage on the farm sector to trade liberalisation in the year 2000 onwards, resulting in China to experience
- A high economic growth rate accompanied by high consumption rate.
 - A high economic growth rate accompanied by high savings rate.
 - A high economic growth rate with improvements in income inequality.
 - A high economic growth with continuous trade competitiveness.
29. The key challenges to Chinas economy include
- The widening of income inequality and increase poverty.
 - The rising labour cost putting a threat to its export competitiveness.
 - The declining birth rates and savings rate.
 - All of the above

30. The causes of the Asian Financial crisis in 1997 includes the following except
- Asia economies growing too fast.
 - A lack of regulation in the banking sector.
 - Adopting a fixed exchange rate regime.
 - Adopting too many reforms in the financial sector resulting in huge capital flight.
31. The Asian financial crisis in 1997 and the Global financial crisis in 2008 are both banking crisis except the Asian financial crisis also includes
- A stronger contagion effects spreading to other economies.
 - The presence of exchange risk that result in contagion effect of depreciation of major Asian currencies and further escalate the country's external debt.
 - There is no interest rates adjustment.
 - The International Monetary Fund (IMF) was successful in helping affected economies.
32. The Asia economies were hit by the global financial crisis with
- The fall in export demand from USA and Europe.
 - A falling exchange rate leading to fall in FDI.
 - Fall in domestic demand.
 - Diminishing foreign reserves to support the depreciating currency.
33. The main lesson from the past major financial crisis includes
- All economies to empower The International Monetary Fund (IMF) to be the key regulatory body of all the financial sectors.
 - All economies require strong regulations , transparency, and supervision of the financial sectors.
 - Central banks must form a close coalition to set a uniform fixed interest rate.
 - Economies should revert back to use of fixed exchange rate system.
34. Poverty is a key economic concern as
- It is a key indicator of the Human Development Index.
 - It reflects the growth of income per capita of the middle- and low-income earners which are driving force of economic growth.
 - It affects the level of FDI.
 - It will further expand government's debt
35. While many Asia economies have successfully slashed poverty by half , poverty still a concern as
- The poverty line measured against USA is inaccurate.
 - The absolute number of people living below the poverty line is still huge and mostly residing in Asia.
 - The data might not have captured the situation of those in the rural areas.
 - Government is running out of funds to solve the poverty issues.

36. The rapid rate of trade liberalisation with large inflow of FDIs and most manufacturing production plants located in more developed states and cities resulted in
- Urban immigration and a fall in birth rates
 - Emergence of urban slums
 - Rising level of urban poverty
 - All of the above
37. A change in demographic pattern of many Asia economies (with the falling birth rate with a rise in aging population) is of economic concern as it
- Will increase the dependency ratio and result in greater employment.
 - Suggest lower level of future consumption and investment level in the country and slow down economic growth.
 - Will affect the government's budget with a prospect of a growing surplus.
 - Will affect the level of export competitiveness
38. The cost of rapid globalisation and industrialisation in Asia includes
- A rapid deterioration of the environment with these economies contributing to more carbon emissions and leading to climate change.
 - A better management of flood controls reducing higher occurrence of floods in Asia.
 - A rapid narrowing of income inequality.
 - A rapid rate of international immigration.
39. Which of the following are considered to be the costs of climate change on the economy
- A threat to food security due to the disruption to the primary sector
 - Damage to infrastructure and thus affect the goods distribution network
 - Government diversion of resources to tackle climate change
 - All of the above
40. Which of the following will be considered as a critical condition affecting the next stage of growth and development of the Asia economies ?
- The changing political climate in the Asia region as well as in the key Advanced Economies such as the EU and USA .
 - The sizable digital economy in Asia.
 - The declining birth rates all around the world.
 - All of the above

SECTION B : SHORT QUESTIONS (TOTAL 60 MARKS)

You are to answer ALL the questions from both case studies.

QUESTION 1 [20 MARKS]

The government of Pakistan examined the success of the Bangladesh economy in the garment industry. . It is considering imitating, by expanding and developing the garment industry as its main growth sector and to compete with Bangladesh at the international market in the next 10 years.

The following are the key aspects of the garment industry in Pakistan

Domestic Supply Function: $Q = 100 + 4P$

Domestic Demand Function : $Q = 600 - 6P$

Import Function = $500 - 10P$

The current free trade price is \$40

Where P and Q refers to the price and quantity of a piece of garment

The Trade Ministry of Pakistan drafted **two proposals** to achieve the goals

Proposal A :

Inward orientation approach , adopting trade restriction tools and a choice of two possible tools

Ai) Levy a **TARIFF of 20%** on imports

OR

Aii) Imposing a **QUOTA of 10 units** on garments

Proposal B :

Outward Orientation approach by building an **EXPORT PROCESSING ZONE (EPZ)** at its costal area , located next to the airport.

Based on the given information , answer the following questions . Provide detailed workings where applicable. Start each question on a new page and label each part clearly [if applicable]

- a. Discuss the following possible effects of the two trade restriction tools [i.e. Tariff vs Quota]
 - i. Compute and compare the changes in the level imports of the tariff vs the quota [4 Marks]
 - ii. Compute and compare the degree of price distortion of the tariff vs the quota, [3 marks]
 - iii. Explain which of these two tools [tariff vs import quota] is more effective for Pakistan to reach her goal of inward oriented growth. [3 marks]
- b. Explain clearly why the adoption of Proposal A may not allow Pakistan to reach her intended goal to grow and develop the garment industry. [4marks]
- c.
 - i. Define Export processing Zone [EPZ] and state **one** key feature of an EPZ [3 marks]
 - ii. Explain **one** possible harm of the EPZ for the Pakistan economy. [3 marks]

QUESTION 2 : CASE STUDY [40 MARKS]

Answer all the questions

Article 1: Background on CLV – DTA

Cambodia-Laos-Viet Nam Development Triangle Area (CLV DTA) was established in 1999, covering 13 provinces of the three countries and seven fields of cooperation. CLV-DTA is a sub-regional cooperation framework that focuses mainly on cross border economic cooperation, with some cooperation on political, security and social and cultural issues.

Within CLV-DTA, Vietnam has taken a de facto leadership role, and its enterprises have invested in 113 projects with total registered capital of US\$3.56 billion in the border provinces in Cambodia and Laos (65 projects in Laos and 48 in Cambodia). The projects are mainly in agriculture, rubber plantation and exploitation, mining industry, manufacturing and processing industry, and banking and finance. Vietnam also provide concessional loans to both Laos and Cambodia to build infrastructure, schools and develop human resources.

In theory, regional economic integration generates opportunities and improves people's lives. The driving force behind CLV-DTA is the recognition that greater benefits can be generated and multiplied through the facilitation of cross-border trade, investment, and people movement. The platform enables state and sub-state actors to overcome deficiencies in labour, technology, resources, land, and infrastructure by optimizing the comparative advantages of the provinces involved.

Reference

Chheang, Vannarith. 2018. *The Cambodia-Laos-Vietnam Development Triangle Area*. © ISEAS Yusof Ishak Institute. <http://hdl.handle.net/11540/8397>.

Key Data set

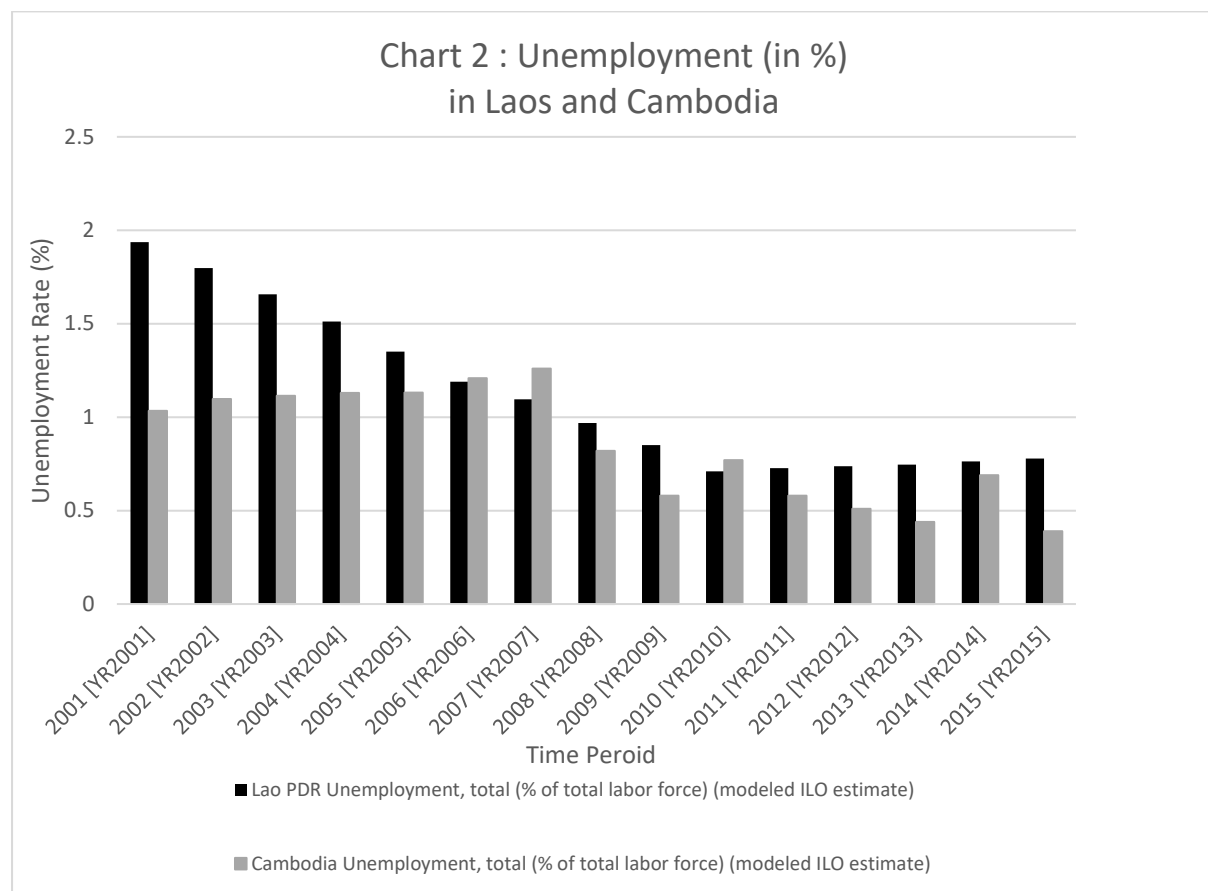
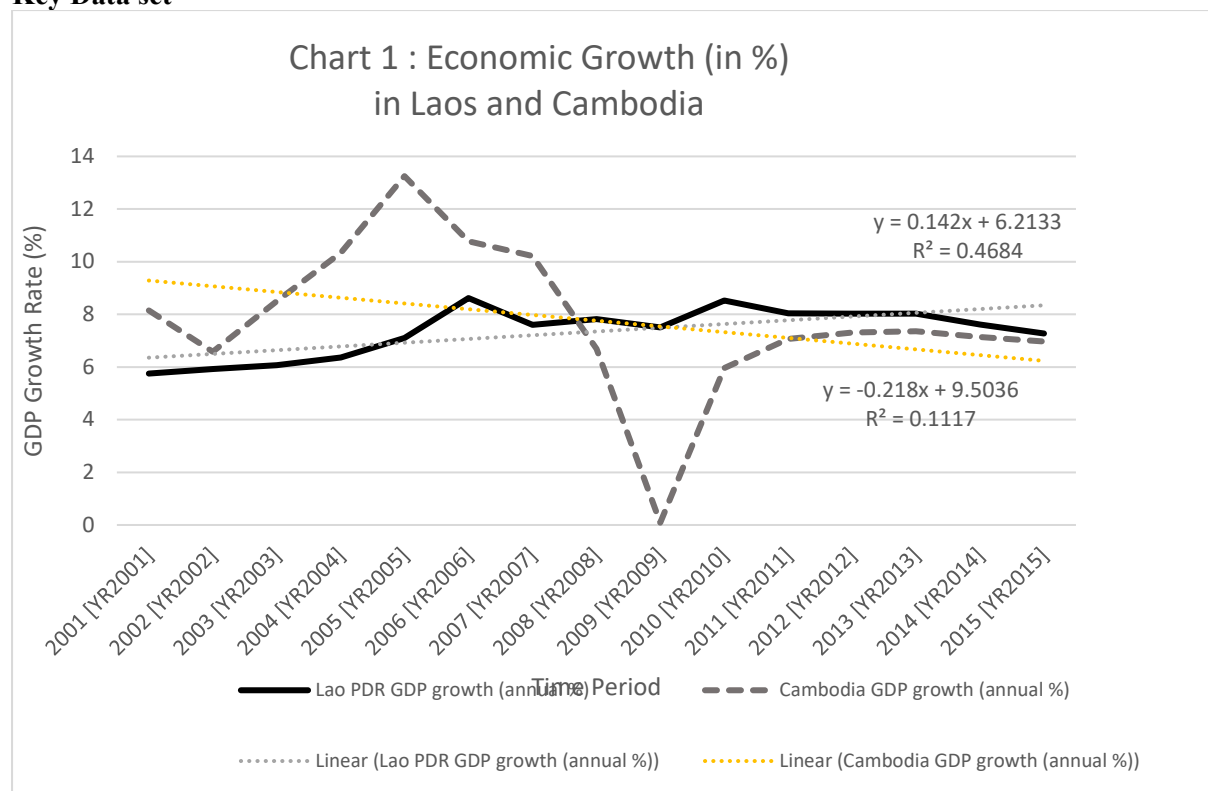


Chart 3: Net FDI inflow (in US\$) for Laos and Cambodia

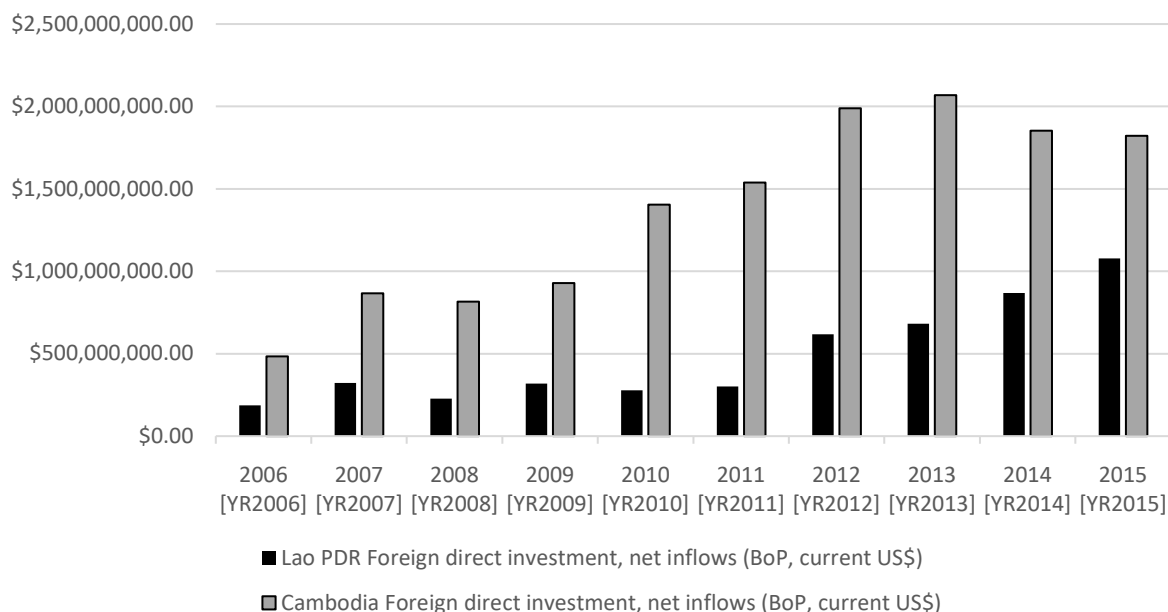


Chart 4 : Trade (% of GDP) of Laos and Cambodia

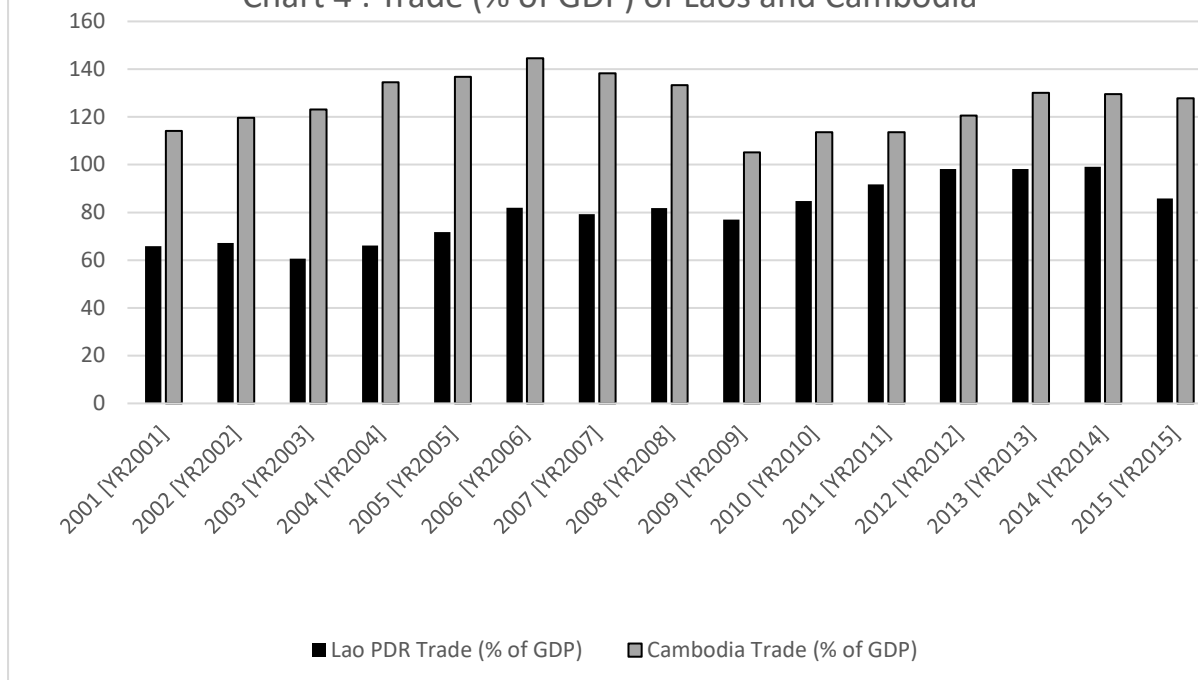


Chart 5A : Sectoral Growth of Cambodia economy

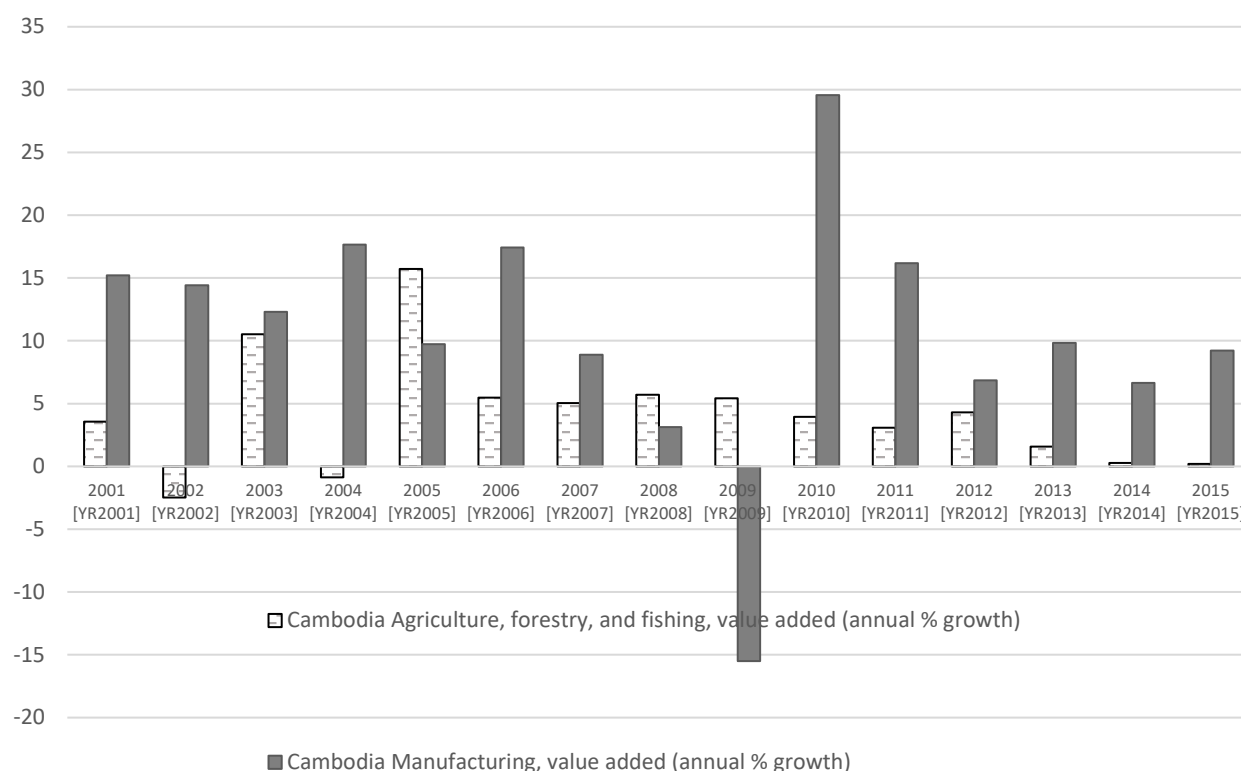


Chart 5B : Sectoral Growth of Laos Economy

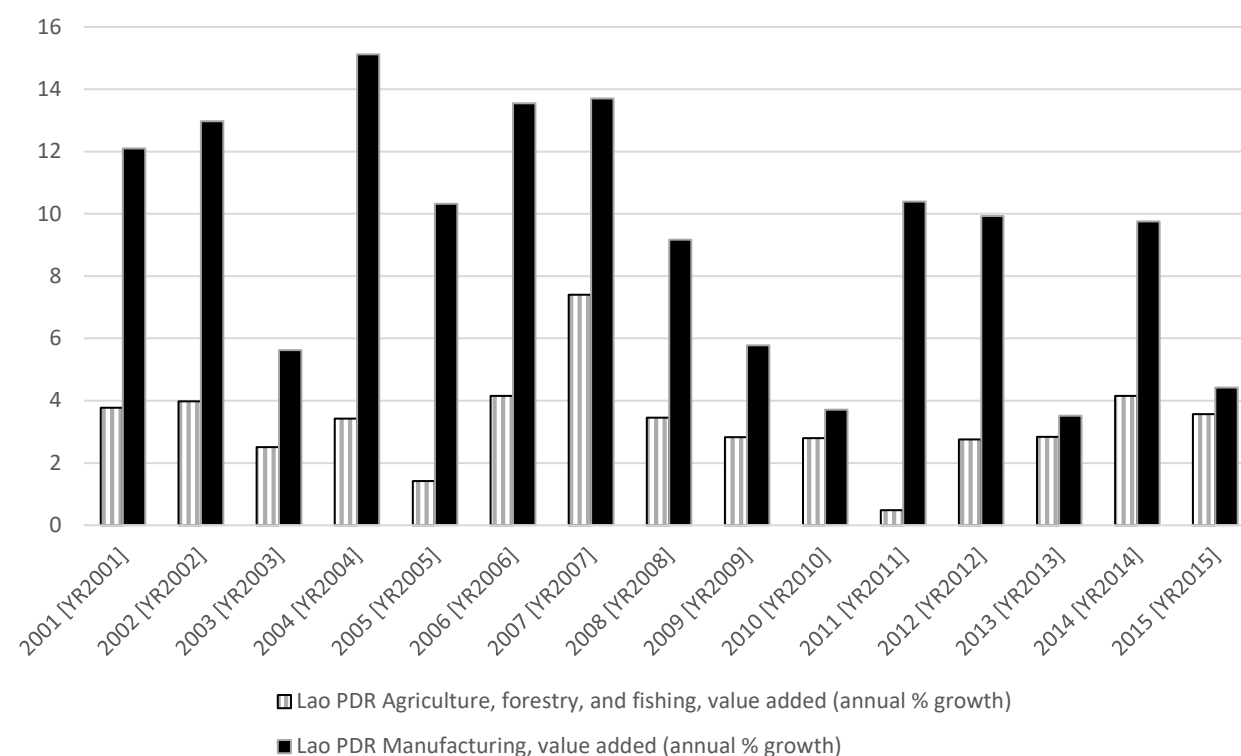
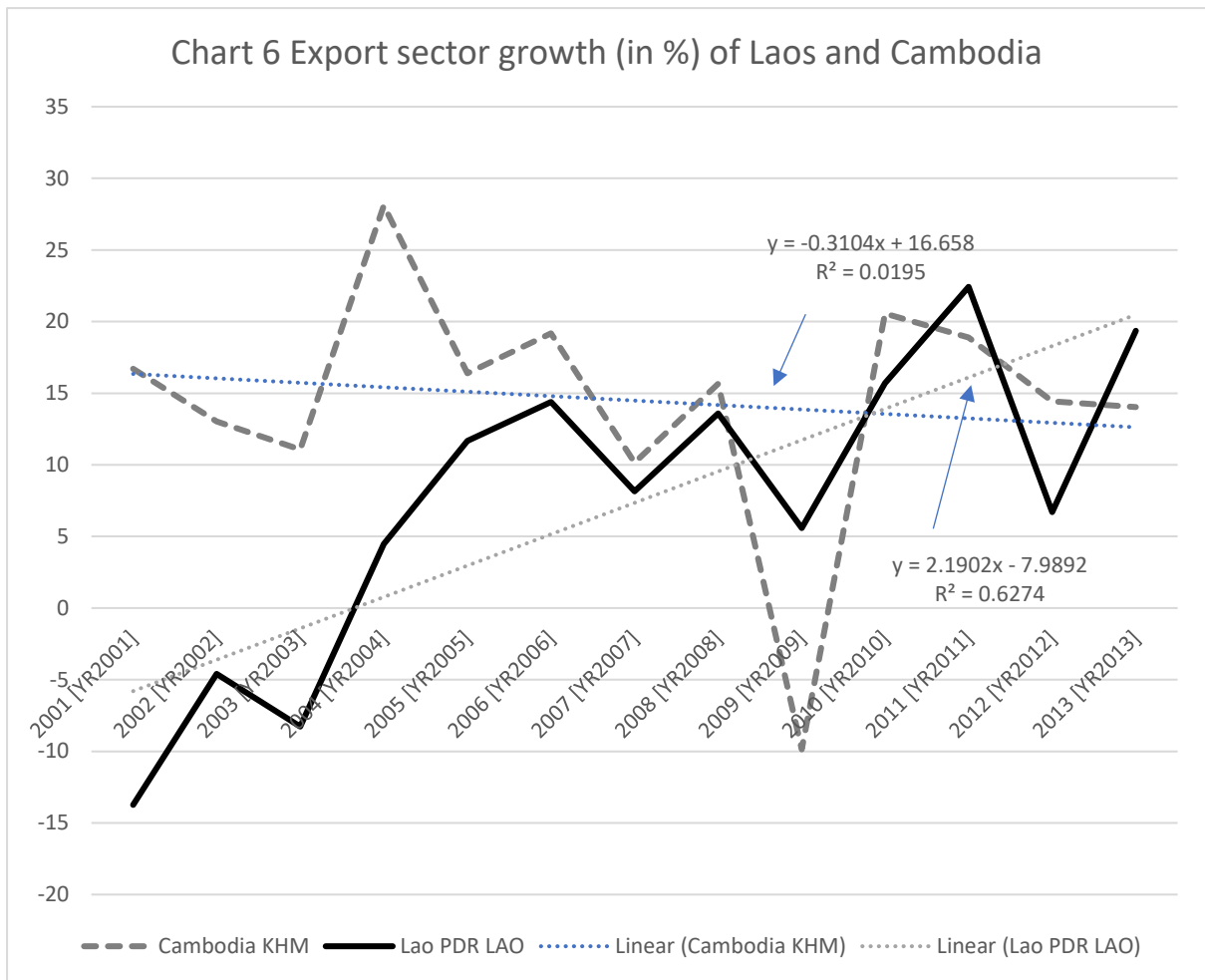


Chart 6 Export sector growth (in %) of Laos and Cambodia



QUESTION 2 [40 MARKS]

Answer all the following questions, using evidence or information given above *when applicable* .
Start each question on a new page and label each part clearly.

a. Trade liberalisation

- i. Using **two** sets of evidence from the given data, explain which country (Laos or Cambodia) is considered to be a more Open Economy. [6 marks]
- ii. State clearly **two** other economic evidence or concepts you will need to further support your answers to part a) [4 marks]
- iii. Using **two** sets of evidence from the given data, explain country is more affected by the *Global Financial Crisis* [6 marks]

b. Role of FDI Net Inflow

- i. Using **two** sets of evidence from the given data, explain which country may have benefited more from the FDI inflows from Vietnam. [6 marks]
- ii. State **two** possible harms the FDI Inflow may bring to these countries [4 marks]

c. Role of industrialisation and regional integration

- i. Using **two** sets of evidence from the given data, explain which of these two countries experience a more rapid *rate of Industrialisation*. [6 marks]
- ii. Explain **two** key economic challenges or problems these countries might face from the rapid rate of]industrialisation. [4 marks]
- iii. State **two** possible ways of how regional integration can help these two countries to face the stated challenges. [4 marks]

- End of Examination -